

The third component of a lease is the interest rate, which dealers aren't obligated to reveal to you. If the dealer won't tell you the interest rate, you can calculate it yourself.

To calculate the lease's interest rate, or money factor, go through the following steps:

1. Subtract the residual value from the capitalized cost to calculate your depreciation.
2. Divide the depreciation in step one by the number of months in the lease to calculate your monthly depreciation charge.
3. Subtract the monthly depreciation in step two from the monthly payment quoted by your dealer. This is the monthly interest charge.
4. Add the residual value and the capitalized cost to get the total capitalized cost and residual.
5. Divide the monthly interest in step three by the total capitalized cost and residual in step four to get the money factor.
6. Multiply the money factor in step five by 24 to get the interest rate implicit in the lease (24 has nothing to do with the length of your lease—it's a mathematical constant).

Compare this interest rate to the going rates for new car loans in your area to make sure it's in the ballpark.

The Bottom Line on Leasing

The most important thing to remember about leasing is that you should never judge a lease solely by its monthly cost. If you let the dealer know that you understand how leases work and the components that go into the lease price, you'll be able to walk out with a better deal.

Don't enter into a lease lightly. They are very difficult and expensive to get out of if you terminate them early. Also be aware that you will have to pay for any damages or abnormal wear and tear on the car when you turn it in.